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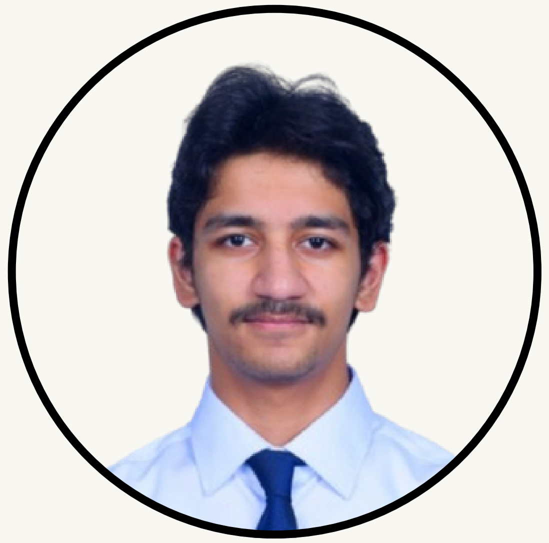

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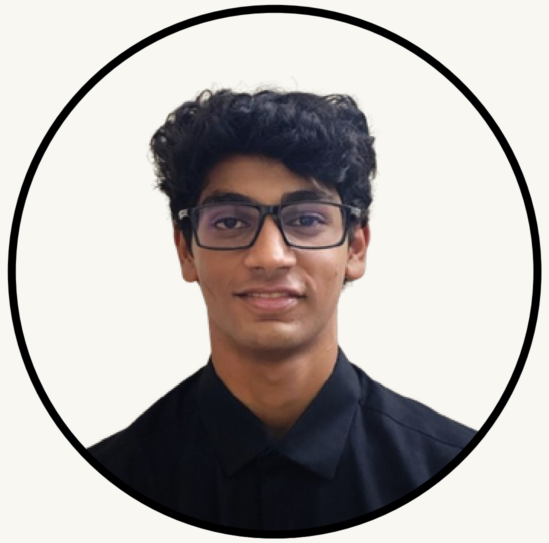

Arjun Sunil Nair

CORE ISSUES / DIAGNOSIS

THE CONTEXT

Heritage - Wow Skin Science revolutionized Indian skincare through natural (sulphate and paraben free skincare) in 2014. It gained a good customer base initially due to this. However with time, it lost its spark and became one of the generic brands in the stores.

Market Shift - Recently, in 2024-2025, there was a shift in the consumer preference from natural (botanical) products to more science based dermatological products.

Strategic Response - To respond to the market shift Wow Skin Science launched Wow 2.0 which was essentially the concept of activated naturals to marry these two worlds.

THE CORE ISSUE

While one side of the market is saturated with natural brands like forest essentials and biotique, and the other side with science based brands like Minimalist and Mama Earth, Wow 2.0 sits in the centre, the “muddle middle”. Although it has the “natural” background it lacks the scientific athourity. To the consumer market this feels like science washing. Its like adding a chemical name to a natural product without actually proving how it works. So currently although wow is “activated” in name but to the market its perception is still that of a generic brand.

THE 3 FATAL FRICTIONS

Identity Dilution - By having a large number of “dogs” in its portfolio (BCG Analysis), the brand lost its hero status and instead became more of an “everything brand”.

Generic Differentiation - Wow initially used the “No Parabens/Sulphates” formula to differentiate itself in the market. However this is no longer a premium but rather a hygiene factor.

Consumer Skepticism - The modern consumer is aware about the skincare and the science behind it. They don’t want to hear onion + collagen but rather want the lab results to find the concentrations of the various chemicals and their purity.

SCIENCE BASED ⟷ NATURAL

Minimalist — mamaearth — WOW SKIN SCIENCE — BIOTIQUE ADVANCED AYURVEDA — FOREST ESSENTIALS

OUR PROPOSED STRATEGY

TURNING "ACTIVATED NATURALS" FROM A CLAIM INTO A FACT

"TRUST US, IT'S NATURAL"

ANCHOR TRUST

TRANSFER EQUITY

DATA-DRIVEN EXPANSION

"DON'T TRUST US, TRUST THE LAB REPORTS"

Our ONE lever strategy:
Complete Ingredient Transparency

Core idea:
Legitimising WOW 2.0's shift to "Activated Naturals" by proving potency in every bottle

Mechanism
Providing lab reports for each batch of product stating the exact % of actives present in it.

Why it may work
Competitors or generic brands may not afford the operational cost of public lab reports. By providing evidence, WOW creates a barrier that generic brands cannot cross

SCALE UP FUNNEL

Anchor Trust - By provided lab results we are able to anchor trust of the skeptical customers.

Transfer Equity - Once the consumer scans a product and checks the ingredients, the trust is built which can also be transferred to otherr products. For eg. - If a consumer scans the QR behind the rosemary serum, the trust is built and he will implicitly trust our shampoo as well.

Data Driven Expansion - A data pool is created by the customers scanning our products. This helps us identify which lines of products the transparency seeking customers are intereseted in. For these products we don't need marketing through expensive external platforms such as google. This greatly reduces the Customer Acquisition cost.

WHY NOW?

1. Our once core differentiators "No Sulphates and No Parabens" have become a widely available standard in the skincare industry.
2. Consumers focus more on science and their is a lack of trust that WOW can deliver that.
3. WOW 2.0 has just launched. Thus, we need to validate that with our Lab reports to earn consumer trust.

6 MONTH GTM PLAN

MANPOWER: Deploying "OPTIMIZATION SQUAD" to retrofit stock & transforming STORES into "Verification Agents."

MATERIAL: "Truth Stickers" (Medical-grade QR labels) applied to existing inventory to bypass 12-month packaging cycles.

4M OPERATIONS MODEL

METHOD: Shifting the sales ritual from "Pushing Purchase" to "Verifying Product Potency"

MEASUREMENT: Retailer margins shifted from "Units Sold" to "Units Scanned". High Volume Stores gain Higher Margins, incentivising retailer efforts.

EXECUTION ROADMAP

PHASE 01: THE RETROFIT (MONTHS 1 -2)

Goal: Physical deployment at the retailer level.

The Problem: Package/Product redesigning takes around 12 months, but we only have 6.

The Solution:
Channel Action: "Optimization Squad" visit top 500 outlets to apply QR labels to shelf stock(ensure immediate availability)
Merchandising: Install "Stop! Scan This" shelf-banners to arrest consumer attention.
Tech: Each QR code links to a batch-specific Dermatological Report confirming purity.

PHASE 02: THE RETRAIN (MONTHS 3-4)

Objective: Exploit wide offline distribution channels.

The Shift: From "Pushing to purchase" to "Verifying pre-purchase."

Change in Advertising:
The Script Shift:
Old Way: "It's natural and good for you."
New Way: "Ma'am/Sir, I don't know if that other brand is safe. Scan this bottle and check the lab report yourself."

Retailer Incentive: Incentivise the channel by linking trade margins/commissions to Scan Volume. High-scan stores receive higher margins.

PHASE 03: THE LOYALTY LOOP (MONTHS 5-6)

The Problem: We have volume but no data, trapping us in a cycle of paid social dependency.

The Fix: "Scan-to-Register."
Consumers scan to access a "Potency Tracker" (active ingredient freshness/spoilage alert).

The Capture: User enters phone number to register/view report , capturing previously unknown offline data.
We can now market directly (via SMS/WhatsApp), **completely bypassing the need for paid social media algorithms.**
In sum, aiming to boost the stagnant online buzz by exploiting offline distribution strengths.

TRY IT LIVE: *Scan this code to see what the consumer sees*

STRATEGIC TRADE-OFFS

1

AGGRESSIVE RETAILER INCENTIVES

THE VERDICT: REJECTED

WHAT IT IS:
Offering incentives to retailers selling offline for promoting WOW over other competitors.

WHY WE CONSIDERED IT:
WOW has a widespread offline network. Money will motivate retail partners to promote our brand, in turn boosting sales.

WHY WE REJECTED IT:

- The **"Push vs. Pull"** Trap: This promotes temporary sales but doesn't address the core problem: **consumers don't ask for WOW**. If we stop paying the incentive, sales would collapse immediately.
- **Margin Erosion:** It increases our expenditure without generating any long term brand equity or customer loyalty.

2

SUSTAINABLE PACKAGING STRATEGY

THE VERDICT: REJECTED

WHAT IT IS:
Transitioning the entire product line to 100% Recycled PET (rPET) bottles and biodegradable outer packaging to capture the **"eco-conscious consumer."**

WHY WE CONSIDERED IT:
Aligns with the **"Natural"** brand vision and appeals to **Gen-Z values.**

WHY WE REJECTED IT:

- The **Timeline Constraint**: Sourcing skin-grade recycled plastics, testing molds, and clearing old inventory is a **12-18 month** operational cycle. It is impossible to execute effectively within the **6-month** constraint.
- **Low Differentiation**: **"Eco-friendly"** is a nice-to-have bonus, not a primary driver for purchasing active ingredient based skincare.

3

PORTFOLIO RATIONALIZATION (BCG ANALYSIS)

THE VERDICT: BACKEND IMPLEMENTATION

WHAT IT IS:
Using the BCG Matrix to analyse our product line up and discontinue the **"Dogs"** and **"Question Marks"** to focus resources towards **"Stars"** and **"Cash cows"** to promote a sustainable brand growth.

WHY WE CONSIDERED IT:
WOW's product range is over diversified, causing consumer confusion and inventory drag.

WHY IT IS NOT THE STRATEGY:

- This is internal operational cleanup, **not a Go-To-Market strategy** that brings new customers in.
- **The Decision:** We will execute this in the background to fund our strategy, but it is not the strategy itself.

IMPACT & RISK ASSESSMENT

The Success Metric: ***<u>The verification rate (Scan to sale ratio)</u>***

The percentage of customers who scan the QR code in store with respect to total units sold.

Why this metric?

- Relevance over revenue
- High scan rate → Prove "Science/ Actives" positioning of brand → Validating solution of identity dilution

Risk Mitigation Strategy

- Implementation of Quarantine strategy. No batch leaves the warehouse until it clears lab testing.
- Any failed batches will be destroyed internally. The public will never see a failed batch.

Why is this risk acceptable: The alternative is to be in the middle where we are competing with claims rather than proof. This differentiation is essential even if it comes at the cost of stricter manufacturing

Risk Mitigation Strategy

- Hosting reports of low-latency platforms such as google/ AWS to reduce load time.

Why is this risk acceptable: Minor customer inconvenience is acceptable for invaluable development of consumer trust in the brand. Specially for a risk with a low probability with a negligible impact.

HIGH

IMPACT

Verification Failure A Batch publicly fails lab testing. It can be followed by massive social media backlash. **(Reputational risk)**	**Adoption Inertia** Customers ignore the QR code and view it as a standard bar code or a regulatory print. **(Adoption risk)**
Technical latency Upon scanning the QR the lab-report url takes time to load up, causing customer inconvenience It doesn't affect product integrity. **(Technological risk)**	**Inventory Overlap** In the initial phase (month 1-3) Old (non QR) and New (QR) stock on the same shelves causing discrepancies. **(Operational risk)**

LOW → HIGH

PROBABILITY

Risk Mitigation Strategy

- Actionable designs for the QR codes which sets them apart from barcodes.
- **Gratification:** Rewarding scanning customers with coupon codes to build customer retention

Why is this risk acceptable: The presence of a "truth QR" signals confidence to the consumer. The brand value establishes itself even before the scan

Risk Mitigation Strategy

- Strict First-in-first-out enforcement to clear old stock.
- Deployment of shelves signs which state "fresh batches come with lab reports"

Why is this risk acceptable: It is a Temporary friction. Recalling perfectly good stock is financially irresponsible in comparison to minor customer confusion.

NDIX

1. BCG Matrix

2. The economics of transparency (is testing every batch really feasible?) :

- Average batch size = 5000-10000 units
- Cost of lab testing = Rs.5000-8000 per batch
- Cost per unit = Less than Rs. 1.5 per bottle

The cost per batch is less than 0.5% cost of goods sold is negligible when compared to the gain achieved from the marketing.

3.Technical Implementation:

- Lab generates a PDF report
- Upload PDF to a simple cloud storage (google drive or AWS) witha public link
- Use a dynamic QR code generator. The QR code on the bottle stays the same however the backend link gets updated